Deephaven

UPDATES TO DEEPHAVEN CORRESPONDENT PURCHASE ELIGIBILITY GUIDELINES

Effective Date: March 3, 2026

Channels: Correspondent

Summary: Deephaven Mortgage will amend the following guidelines as detailed below. These changes are applicable to all loans currently in production.

SECTION	REVISION	PREVIOUS GUIDELINE	UPDATED GUIDELINE
4.13.1.2 BUSINESS ENTITY VESTING	Expanded Entity vesting guidelines to allow up to 8 owners with a maximum of 4 individuals on the loan application.	To vest ownership in an Entity but close in the name of a natural person, the following must be met: • Business purpose and activities are limited to ownership and management of real estate. • Entity limited to a maximum of 4 owners (aka members, partners, or shareholders). • A minimum of 50% of the Entity ownership must be represented as borrowers on the loan, each completing a l003 as applicants. Members of the LLC may also not be a trust. • The loan application, credit report, income (if applicable), and assets for each Entity owner • represented will be used to determine qualification and pricing. • Each Entity owner represented must receive notice of the loan and its terms prior to closing.	To vest ownership in an Entity but close in the name of a natural person, the following must be met: • Business purpose and activities are limited to ownership and management of real estate. • Entity limited to a maximum of 8 owners (aka members, partners, or shareholders). • A minimum of 50% of Entity ownership must be represented as borrowers on the loan, each completing a l003 as applicants. A maximum of 4 individuals may be on the loan application. • Members of the LLC may also not be a trust. • The loan application, credit report, income (if applicable), and assets for each Entity owner represented will be used to determine qualification and pricing. • Each Entity owner represented must receive notice of the loan and its terms prior to closing

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4.13.1.2 BUSINESS ENTITY VESTING	Removed DSCR requirement for Business Purpose Affidavit to be signed prior to submission. Form to be signed at closing only.	Documents must be completed and signed by each individual applicant (in their capacity as an individual only) that is an owner of the vesting Entity, as follows: • Business Purpose & Occupancy Affidavit – signed by each Entity owner represented (both at submission and closing).	Documents must be completed and signed by each individual applicant (in their capacity as an individual only) that is an owner of the vesting Entity, as follows: • Business Purpose & Occupancy Affidavit – signed at closing by each Entity owner represented.
4.13.2.1 LEASEHOLD ESTATE LEASE REQUIREMENTS	Revised leasehold requirements from a 50-year term to 5 years beyond the maturity date of the mortgage.	The remaining term of leasehold is 50 years or more (including unexpired renewals) from date of the mortgage.	The term of the leasehold estate must run for at least five years beyond the maturity date of the mortgage, unless fee simple title will vest at an earlier date in the borrower.
14 DSCR PROGRAM	DSCR guidelines removed. Standalone Business Purpose Lending Guidelines now available.	Section "14 DSCR Program" removed from guidelines.	See the new standalone Deephaven Business Purpose Lending (BPL) Guidelines.
BPL SECTION 'REQUIRED FORMS' (FORMERLY DSCR 14.1.10)	Removed DSCR requirement for Business Purpose Affidavit to be signed prior to submission. Form to be signed at closing only.	For DSCR, the following forms are required: • Business Purpose & Occupancy Affidavit (all Borrowers, Borrowing Entities, and/or Personal Guarantors are required to sign prior to submission and at closing to declare that the property is or will be for commercial business or investment purpose only) • 1-4 Family Rider/Assignment of Rents (FNMA Form 3170) • Deephaven Guaranty Form (if applicable)	For DSCR, the following forms are required: • Business Purpose & Occupancy Affidavit (all Borrowers, Borrowing Entities, and/or Personal Guarantors are required to sign at closing to declare that the property is, or will be, for commercial business or investment purpose only) • 1-4 Family Rider/Assignment of Rents (FNMA Form 3170) • Deephaven Guaranty Form (if applicable)

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BPL SECTION 'DETERMINING LOAN-TO-VALUE' **(FORMERLY DSCR 14.2.3.1)**	Revised DSCR guidelines for renovation cash-out. Appraisal may be used with < 6 months ownership seasoning, subject to a 5% LTV reduction.	If the property was acquired < 6 months from note date and the property was subsequently renovated, the appraised value can be used, subject to the below requirements: • Provide original listing photos and/or original appraisal from purchase illustrating property condition prior to renovation. • Full appraisal required reflecting improvements made since purchase. • Value must be supported by a Clear Capital CDA or FNMA Collateral Underwriter/ FHLMC Loan Collateral Advisor Review with a score of 2.5 or less (must include a copy of the Submission Summary Report).	If the property was acquired < 6 months from note date and the property was subsequently renovated, the appraised value can be used, subject to the below requirements: • Provide original listing photos and/or original appraisal from purchase illustrating property condition prior to renovation. • Full appraisal required reflecting improvements made since purchase. • Value must be supported by a Clear Capital CDA or FNMA Collateral Underwriter/ FHLMC Loan Collateral Advisor Review with a score of 2.5 or less (must include a copy of the Submission Summary Report). • Allowed with 5% LTV reduction from max available.
BPL SECTION 'BORROWING ENTITIES' **(FORMERLY DSCR 14.3.5)**	Expanded DSCR Borrowing Entity guidelines to allow up to 8 owners, including a maximum of 4 personal guarantors, with a maximum of 4 individuals on the loan application.	The business purpose and activities of the Borrowing Entity are limited to ownership and management of real estate, and ownership is limited to a maximum of 4 owners (aka members, partners, or shareholders). In addition, members of the LLC may also not be a trust.	• The business purpose and activities of the Borrowing Entity are limited to ownership and management of real estate, and ownership is limited to a maximum of 8 owners (aka members, partners, or shareholders) including a maximum of 4 Personal Guarantors. • Members of the LLC may also not be a trust. • A maximum of 4 individuals may be on the loan application.

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BPL SECTION 'BUSINESS ENTITY VESTING' **(FORMERLY DSCR 14.3.12.2)**	Expanded DSCR Business Entity Vesting guidelines to allow up to 8 owners, including a maximum of 4 personal guarantors, with a maximum of 4 individuals on the loan application.	The business purpose and activities of the Borrowing Entity are limited to ownership and management of real estate, and ownership is limited to a maximum of 4 owners (aka members, partners, or shareholders). In addition, members of the LLC may also not be a trust.	• The business purpose and activities of the Borrowing Entity are limited to ownership and management of real estate, and ownership is limited to a maximum of 8 owners (aka members, partners, or shareholders) including a maximum of 4 Personal Guarantors. • Members of the LLC may also not be a trust. • A maximum of 4 individuals may be on the loan application.
BPL SECTION 'BUSINESS ENTITY VESTING' **(FORMERLY DSCR 14.3.12.2)**	Removed DSCR requirement for Business Purpose Affidavit to be signed prior to submission. Form to be signed at closing only.	Documents must be completed and signed by each individual applicant (in their capacity as an individual only) that is an owner of the vesting Entity, as follows: • Business Purpose & Occupancy Affidavit – signed by each Entity owner represented (both submission and closing) and guarantors, when applicable.	Documents must be completed and signed by each individual applicant (in their capacity as an individual only) that is an owner of the vesting Entity, as follows: • Business Purpose & Occupancy Affidavit – signed at closing by each Entity owner represented and guarantors, when applicable.
BPL SECTION 'MULTIPLE FINANCED PROPERTIES AND DEEPHAVEN EXPOSURE' **(FORMERLY DSCR 14.3.13)**	Revised guidelines to clarify that maximum exposure requirements apply to both borrowers and guarantors.	There is no limit on the number of other properties borrowers may currently have financed. Deephaven Mortgage exposure may not exceed $10M aggregate with a maximum of 10 loans for each individual borrower. Exceptions to this policy will be reviewed on a case-by-case basis.	• No limit on the number of other properties borrowers may currently have financed. • Deephaven exposure may not exceed $10M aggregate with a maximum of 10 loans for each individual borrower or guarantor. • Exceptions to this policy will be reviewed on a case-by-case basis.

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BPL SECTION ‘RATIOS AND QUALIFYING’	Updated Business Purpose Lending guidelines to include traditional debt ratio qualification for natural person borrowers.	Not previously addressed in guidelines.	Natural person borrowers only may qualify using traditional employment and income under the following documentation types: • 1 Year W-2s or Tax Returns • 12 Months Personal OR Business Bank Statements • 12 Months 1099 Income Maximum debt ratio is 50%. See Section 8 Employment/Income Analysis in the Deephaven Correspondent Purchase Eligibility Guidelines for complete requirements.
14.4.3 EQUITY ADVANTAGE TRADELINE REQUIREMENTS	Expanded acceptable tradelines under Equity Advantage to allow a tradeline waiver option with 700+ score.	Standard Tradelines: • 3 tradelines reporting for 12+ months with activity in last 12 months, or • 2 tradelines reporting for 24+ months with activity in last 12 months, or • 1 tradeline with 36+ months with activity in the last 12 months	Standard Tradelines: • 3 tradelines reporting for 12+ months with activity in last 12 months, or • 2 tradelines reporting for 24+ months with activity in last 12 months, or • 1 tradeline with 36+ months with activity in the last 12 months, or • Primary wage earner credit report reflects scores from all 3 bureaus and qualifying score is 700+
14.7 EQUITY ADVANTAGE DSCR	Revised Equity Advantage guidelines to include Borrowing Entity and Personal Guarantor requirements.	Not previously address in Equity Advantage guidelines.	See guideline sections 14.7.1.1 Borrowing Entities and 14.7.2 Personal Guarantors for complete requirements.
14.7.3 EQUITY ADVANTAGE MINIMUM DSCR	Revised Equity Advantage guidelines to provide a DSCR calculation and to clarify that interest-only 1st mortgage payments may be used.	The minimum DSCR required for Equity Advantage DSCR transaction is 1.00.	Debt-Service Coverage Ratio = Gross Income / (1st Mortgage PITIA + Proposed 2nd Mortgage P&I) The minimum DSCR required for Equity Advantage DSCR transaction is 1.00. For interest-only loans, the DSCR calculation allows for the use of the interest-only payment including escrows.

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